

tracts to improve productivity and now the Rashtriya Krishi Vikas Yojana, with a budget of Rs 25,000 crore, partners states in improving agri-infrastructure. Funding of seed production through universities helped enhance yield and availability, improving raw stock supply. Finally, a hike in minimum support price (MSP)—which assures the cultivator a benchmark price to seek in the market—from Rs 550 per quintal of paddy in 2004 to Rs 1,000 now and from Rs 630 to Rs 1,000 for wheat fetched better returns for farmers.

**T**he bumper output, Pawar says, is a vindication of his belief. "I was upset about the manner in which the department was systematically targeted. I spend just eight hours a week on cricket but some people indulge in this kind of petty politics. I think the numbers speak for themselves," he says. In retrospect, one can now explain the food crisis of 2006-07. A delay in hiking MSP led to private players cornering output. Even as the government struggled to procure for public distribution, international prices rose, fuelled by falling global output which made imports expensive. Consumers and politicians were naturally agitated. Pawar would like us to believe that the crisis has passed.

But the critics are not satisfied. There is the phantom of suicides and, of course, meteoric rise in prices. Pawar, though, says this is the flip side of a viability matrix. "First we have to give them adequate returns and educate them on alternative crops. I was in Nanded last month and farmers there have got Rs 2,800 per cotton bale and Rs 1,800 per quintal for soya. They had never got such returns before. So they know the truth but some politicians are still talking. That's okay."

But hasn't the hike in MSP triggered higher food prices? Without so much as flinching, Pawar illustrates his disagreement with a transaction. When the government buys paddy at Rs 1,000 per quintal, it translates into Rs 16.66 per kg for rice. Add freight and other costs, and the price could touch Rs 20, post procurement. Even this, he points out, barely covers the cost, with input prices rising. "And if we don't pay, the output will drop and you will have to import." That, says Pawar, could be ex-

## UP and UPA

Minimum support price has seen a quantum leap

**WHEAT:** From Rs 630 per quintal in 2004-05 to Rs 1,000 per quintal in 2008-09

**RICE:** From Rs 550 per quintal in 2004-05 to Rs 1,000 per quintal in 2008-09

pensive, with Thai rice priced at Rs 52 per kg plus levies, which will take the actual price to Rs 70. "We paid well for sugar and there is a bumper crop that has dragged the prices down." The choice, he says, is for us to make.

That is the economics of agriculture, but what about the politics of inflation and price rise? Isn't he mistaken in his support for commodity futures, suspected of driving up prices? Pawar rejects the contention and says the

## CREDITABLE RISE

Credit to agriculture has shot up since 2004-05 under the UPA rule

|         |                       |
|---------|-----------------------|
| 2003-04 | <b>Rs 86,981 CR</b>   |
| 2004-05 | <b>Rs 1,25,309 CR</b> |
| 2005-06 | <b>Rs 1,80,486 CR</b> |
| 2006-07 | <b>Rs 2,03,297 CR</b> |
| 2007-08 | <b>Rs 2,40,000 CR</b> |
| 2008-09 | <b>Rs 2,80,000 CR</b> |



**THOUGHT FOR FOOD: Pawar with Prime Minister Manmohan Singh**

Abhijit Sen Committee has found no connection between futures trading and price rise. "Besides if all other industries have the benefit of price discovery, why should not the farmer have it?" Pawar would like the farmer to discover prices and park his produce at a certified warehouse and sell at a better price at a later date. "After all, he should be informed and empowered to take a call on what to grow when and when to sell at what price." You can disagree with him but can't quarrel with his pro-farmer stance.

So how does he, who has hiked the procurement price and supports futures as agriculture minister, deal with price rise as a food minister? The problem, Pawar argues, is not the lack of institutional mechanism to supply food at affordable prices but the implementation. "We have the PDS where we supply grains to the very poor under the Antyodaya Anna Yojana at Rs 2 per kg and for BPL families at Rs 4 per kg. Those above the poverty line get grains at